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China Infant Formula

2026 proprietary survey findings



CITI'S TAKE

Citi's global infant formula team comprising of Sam Teeger, Tiffany Feng, Cedric Besnard, and Joanna Wuensch have partnered with Citi's Research Innovation Lab to conduct their sixth annual survey of 1,200 parents/caregivers of young children in China (from Tier 1 to Tier 5 cities) who purchase infant formula.

In this report we discuss 11 key findings from our survey.

Links to our previous China IMF surveys:

2025: [China Infant Formula - Infant formula: 2025 proprietary survey findings](#)

2024: [Global Agricultural Products - Infant formula: 2024 proprietary survey findings](#)

2023: [Greater China Food Manufacturers - Infant formula: 2023 proprietary survey findings](#)

2022: [Greater China Food Manufacturers - Infant formula: 2022 proprietary survey findings](#)

2021: [China Infant Formula - Citi's 2021 Proprietary Survey Reaffirms Positive View on Feihe](#)

2020: [China Infant Formula Sector - Citi Proprietary Survey Findings](#)

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Data Summary

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Abbott Laboratories	ABT	US\$	84.47	147,131	15 May 16:00	1	nc	-	108.00	nc	27.9	1.7	29.6	Dec-25	5.45	nc	5.98	nc
China Feihe	6186.HK	HK\$	3.34	29,418	15 May 16:10	2	nc	-	3.60	nc	7.8	5.4	13.2	Dec-25	0.295	nc	0.277	nc
Danone	DANO.PA	€	61.24	41,729	15 May 17:30	2	nc	-	77.00	nc	25.7	3.8	29.6	Dec-25	3.97	nc	4.28	nc
Health & Happiness (H&H) Int'l Hldgs	1112.HK	HK\$	13.47	8,696	15 May 16:10	1	nc	-	16.00	nc	18.8	2.7	21.5	Dec-25	1.203	nc	1.518	nc
Nestlé	NESN.S	SFr	78.07	201,149	15 May 17:30	2	nc	-	85.00	nc	8.9	3.8	12.7	Dec-25	4.41	nc	4.71	nc
The A2 Milk Company	A2M.AX	A\$	6.13	4,447	15 May 16:00	3	nc	-	5.85	nc	-4.6	2.5	-2.0	Jun-25	27	nc	27	nc
1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk						ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change												
Source: Citi Research						^Catalyst Watch												

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Abbott Laboratories	ABT	Dec-25	US\$	1.09	1.26	1.30	1.50	5.15	1.15	1.28	1.43	1.59	5.45	-	-	-	-	5.98
China Feihe	6186.HK	Dec-25	Rmb	-	-	-	-	0.292	-	-	-	-	0.295	-	-	-	-	0.277
Danone	DANO.PA	Dec-25	€	-	-	-	-	3.81	-	-	-	-	3.97	-	-	-	-	4.28
Health & Happiness (H&H) Int'l Hldgs	1112.HK	Dec-25	Rmb	-	-	-	-	1.010	-	-	-	-	1.203	-	-	-	-	1.518
Nestlé	NESN.S	Dec-25	SFr	-	-	-	-	4.41	-	-	-	-	4.41	-	-	-	-	4.71
The A2 Milk Company	A2M.AX	Jun-25	NZ\$	-	-	-	-	28	-	-	-	-	27	-	-	-	-	27

Source: Citi Research

Citi China Infant Formula Survey

Sam Teeger (a2), Tiffany Feng (China Feihe, H&H), Joanne Wuensch (Abbott), Cedric Besnard (Danone, Nestle), conducted a survey of 1,200 Chinese consumers, with the support of Citi's Research Innovation Lab, which helped coordinate the survey and gather the data we leveraged to develop insights into trends in China.

Potential stock implications from our survey

a2 Milk (covered by Sam Teeger)

The survey findings provide deeper insight from a consumer perspective into competitor stock levels following well documented recalls/shortages. However, a2 was not able to maximise this potential opportunity due to its own supply issues, and according to our survey, consumers are switching to domestic brands. The survey also identifies an improving consumer perception of domestic infant formula milk quality, particularly those that are manufactured in China. The survey suggests the best way for a2 to mitigate this risk is to ensure it does not under-invest in the science behind its products with nutritional value/scientific benefit being the primary driver influencing consumer choice and HMOs being very important (hence the Genesis shortage is particularly unfortunate). The survey also provides support that a2 is partially decoupling from the birth rate through several factors including premiumization, category expansion, diversifying to products for older consumers and English label relative outperformance. However, the survey does caution against assuming marriages will translate to more births in the near term. The next two zodiacs Horse (2026) and Goat (2027) appear to be incrementally positive from a birth rate perspective.

We [recently downgraded a2 Milk to Sell](#) as we see risk that supply chain constraints could persist for longer than expected, and even when they are resolved it may not be easy or cheap for a2 to win back customers who have switched to competitor brands.

China Feihe (covered by Tiffany Feng)

Feihe has successfully solidified its leadership as the No.1 domestic IMF brand through its "most suitable for Chinese babies" positioning and a strong super-premium product mix (68% of sales in 2025). The company benefits from premiumization, declining breastfeeding rates, HMO innovation (being among the first domestic brands to launch HMO products), online expansion (26% of revenue in 2025, improved market share at 13.2% in 2025), and macro tailwinds such as improved financial health, childcare subsidies, and surprisingly favorable zodiac cycles. Feihe also stands to benefit the most from consumers' preference for freshness, thanks to its newly launched fresh ingredient traceability system in Jan 2026, which allows consumers to verify core ingredient production dates via QR code, effectively building consumer trust.

Industry outlook for 2026E remains tough given potential mid-single digit decline in infant population size (0-3 years old). That said, Feihe may have a mild topline recovery given its inventory clearance in 2H25 has set an easy comp base and new HMO product is likely to be a growth pillar on which management has strong ambitions. We are Neutral on Feihe as we think the weak industry outlook has been priced into the stock's low teens P/E and ~6% dividend yield. See our latest report ([2H25 Results Missed But Dividend In Line; Targets Stable 2026](#)) for details.

Health and Happiness (covered by Tiffany Feng)

H&H is a meaningful beneficiary of consumer switches from recalled brands, as its European-produced (France and Denmark) premium and super-premium IMF products align well with demand for safety and quality. The company benefits strongly from premiumization (22.1% super-premium market share in Jan-Feb 2026), its early-mover advantage in HMO-added products, rapid online channel growth (45% in 2025, accounted for 29% of sales; improved market share at 3.3% in 2025), and robust execution (72% IMF sales growth in 1Q26). However, heightened consumer scrutiny of expiration dates and freshness puts some pressure on H&H's global supply chain model, though this has been well managed historically. H&H also enjoys additional advantages from its diversified portfolio in pediatrics and health supplements.

In our latest report ([A Strong Start to the Recovery Year](#)), we highlighted 1Q26 sales growth ahead of mgmt's full year growth target. While weak infant population trend brings challenge to H&H's BNC business, it recorded strong rebound in IMF sales in 1Q26 and mgmt expect IMF sales to grow at mid to high teens in 2026E. Besides, it took market share from underperforming foreign brands and has developed successful measures in marketing, branding, distribution, and execution. More importantly, we expect ANC and PNC growth and finance cost reduction to drive 2026E earnings significantly. We have a Buy on H&H.

Danone and Nestlé (covered by Cedric Besnard)

The survey confirms that recent recalls did have an impact on both stock levels and consumer behaviors, although it appears that Nestlé recalls seem to have had a wider impact on on-shelf availability/stock levels, which may imply that Danone could have taken some share from Nestlé in Q1, at least within the imported segment. We would think that the key risk for both multinationals, post recalls, is a more lasting willingness from Chinese consumers to switch to domestic, long expiry date Chinese products, as highlighted in the survey, although we also found in some of the answers some comfort around LT buffers, especially around premiumization and the switch towards adjacencies (pediatrics, older demographics) where we think both groups have scale and hospital penetration.

[Danone \(DANO.PA\): Defendable margin, but IMF drag, time needed for US EDP.](#)

[Nestlé \(NESN.S\): A RIG beat more than enough for now to support H2 relative resilience](#)

Abbott (covered by Joanne Wuensch)

Abbott ceased selling its pediatric nutrition products directly into China in 2023, maintaining adult nutrition sales although not significantly, thus these results are largely neutral to its sales there. With that said, its Nutrition franchise has stepped through a number of hurdles, including volume and pricing headwinds, the loss of a WIC contract (Special Supplemental Nutrition Program for Women, Infants, and children in the U.S) which has since been replaced, plus the ongoing necrotizing enterocolitis (NEC) in premature infant litigation. In 1Q26, Nutrition sales were \$2.017B (down 7.7% y/y), with U.S. sales down 11.6% and OUS down 4.7% as the franchise continues to struggle, albeit an improvement from the 4Q25 and management commentary that it is making early progress noting "volumes are starting to recover." Yet top-of-mind for investors, particularly in our conversations, is: does it make sense to keep the franchise? Management addressed this, noting that it continuously does a comprehensive assessment of its assets at both a product and geographic level, evaluating gaps versus the

competition. Further, while management likes “the diversity of our business model” and will not make long-term strategic decisions based on near-term challenges, it is focused on returning to growth.

[Abbott Laboratories \(ABT.N\) - Tricky Quarter, Need to Believe in 2H26 Re-acceleration](#)

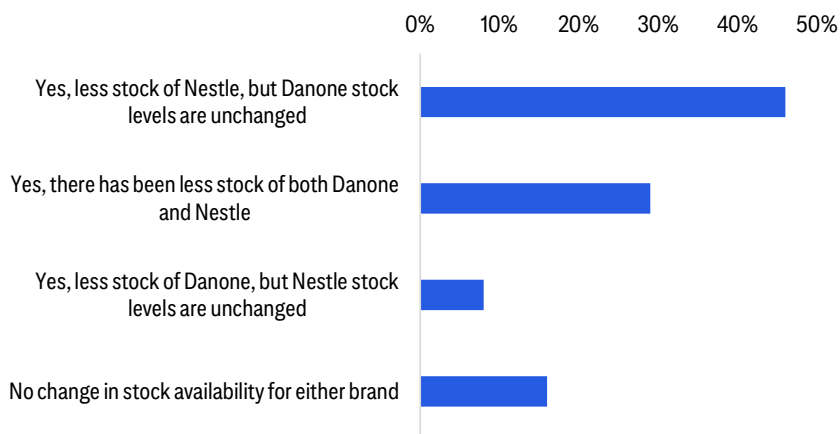
Key takeaways

#1. Noticeable shortages of recalled formula brands and switching from recalled brands to Chinese brands

84% of respondents who currently use or used to purchase Danone (Aptamil, Nutrilon) and/or Nestle Wyeth (NAN, Illuma, S-26) have found these labels to be unavailable this year due to recalls (Figure 1). The largest proportion of respondents found less stock of Nestle but Danone stock levels unchanged, which correlates to the fact that Nestle infant formula was recalled in China, but not Danone.

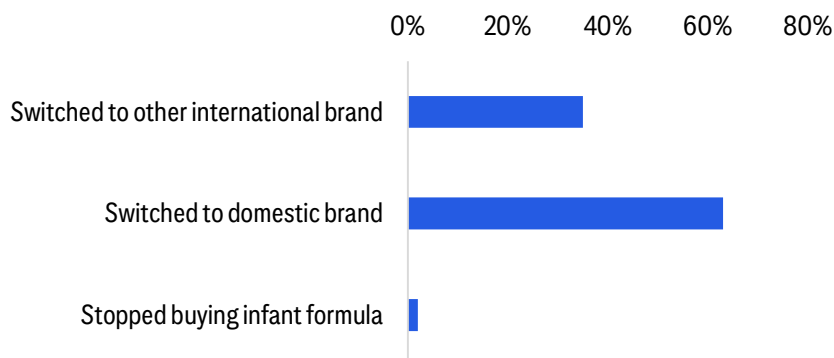
The majority of respondents who used to buy Danone and/or Nestle Wyeth switched to a Chinese brand (63%), whilst 35% switched to other international brands (Figure 2).

Figure 1. Have you found Danone (Aptamil, Nutrilon) and Nestle Wyeth (NAN, Illuma, S-26) infant formulas to have been unavailable this year due to recalls?



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Source: Citi Research

Figure 2. Have you switched from Danone (Aptamil, Nutrilon) and Nestle Wyeth (NAN, Illuma, S-26) to other brands?



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Source: Citi Research

Potential stock implications

- **a2 Milk.** Any potential tailwind from competitor recalls/stock issues seem to have been a missed opportunity given its [recent supply issues](#) causing stock shortages in China. In addition, any tailwinds to a2 from competitor recalls may be limited due to the majority of switching from recalled brands to Chinese brands, rather than international brands.
- **China Feihe/Health and Happiness.** We believe H&H is a meaningful beneficiary from such a switch because H&H's major IMF products are produced in Europe (France plus Denmark) and positioned at premium and super-premium segments, which meet the demand of consumers who are switching from the recalled brands. We do not think Feihe gained meaningfully from such incident due to different marketing positioning.
- **Danone/ Nestlé.** This is an indication that there has been some switch and negative perception headwinds for both Danone and Nestlé, although it is interesting to note that the transition seems to be directed more towards domestic brands than other multinationals, which we think is a reflection of a wider category trend as well as Danone (in particular) dominance in the imported multinationals' space. However, we also note that Nestlé recalls seem to have had a wider impact on on-shelf availability/stock levels, which may imply that Danone could have taken some share from Nestlé, at least within the imported segment. We think the impact is more negative for Nestlé given relative stock levels perception vs Danone.

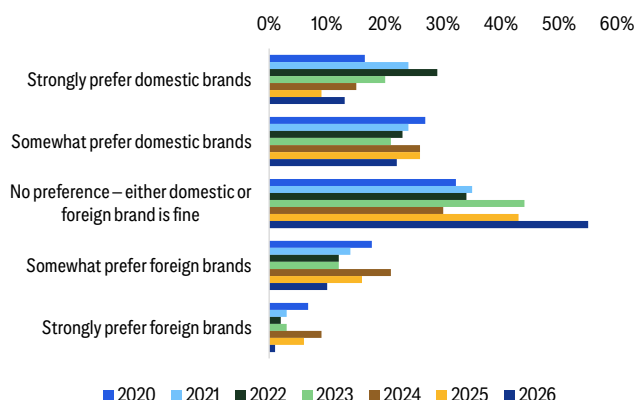
#2. Improving perception of domestic brand quality, however country of origin less relevant with nutritional value / scientific benefit more important

Whilst the percentage of respondents that prefer foreign brands has declined to its lowest point since the start of our infant formula surveys in 2020 (Figure 4), the proportion of respondents who prefer domestic brands is unchanged since 2025, with the majority (55%) of respondents having no preference for domestic or foreign brands (Figure 3). Figure 5 also shows more respondents feeling indifferent to foreign and domestic brands compared to previous years.

This could represent a shift in consumer priority with consumers preferring nutritional benefit over brand and/or country of origin. Figure 7 shows that whilst brand and nutritional value/scientific benefit were of equal influence in 2025, brand is now second to nutritional value in factors influencing choice of formula milk. Country of origin has also dropped in importance since 2025, now no longer in the top 3 factors.

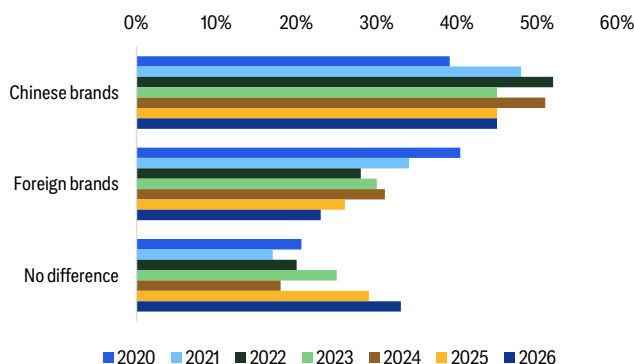
Nevertheless, the perception of Chinese formula milk quality continues to improve more than foreign brands, with almost three quarters of respondents with improving views of the quality of Chinese brands in the past 12 months vs roughly half of respondents for foreign brands (Figure 8). In addition, Figure 9 shows a much larger proportion of respondents (50%) are more likely to buy a foreign brand if it is manufactured in China (24% in 2025), with only 6% less likely (9% in 2025), and 44% indifferent (68% in 2025). China continues to be the top country of origin for quality in the survey (Figure 6), and Chinese brands continue to be considered as offering the highest quality infant milk formula (Figure 5) and preferred over foreign brands (Figure 4).

Figure 3. When purchasing infant milk formula, do you prefer to buy domestic or foreign brands?



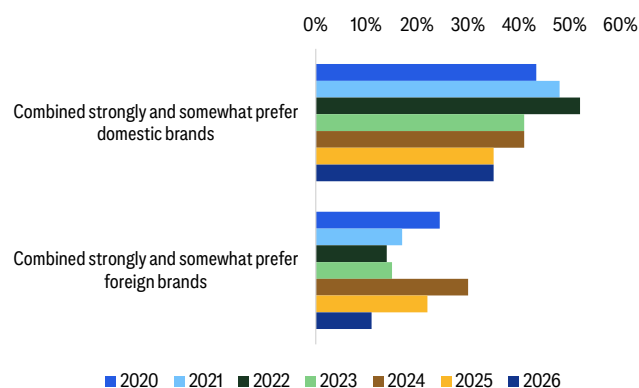
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Figure 5. Which of the following offers the highest quality infant milk formula?



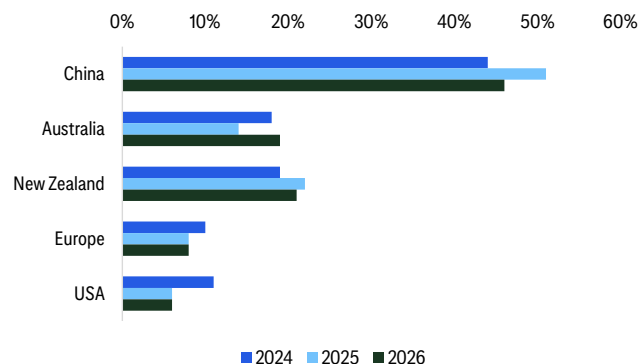
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Figure 4. When purchasing infant milk formula, do you prefer to buy domestic or foreign brands?



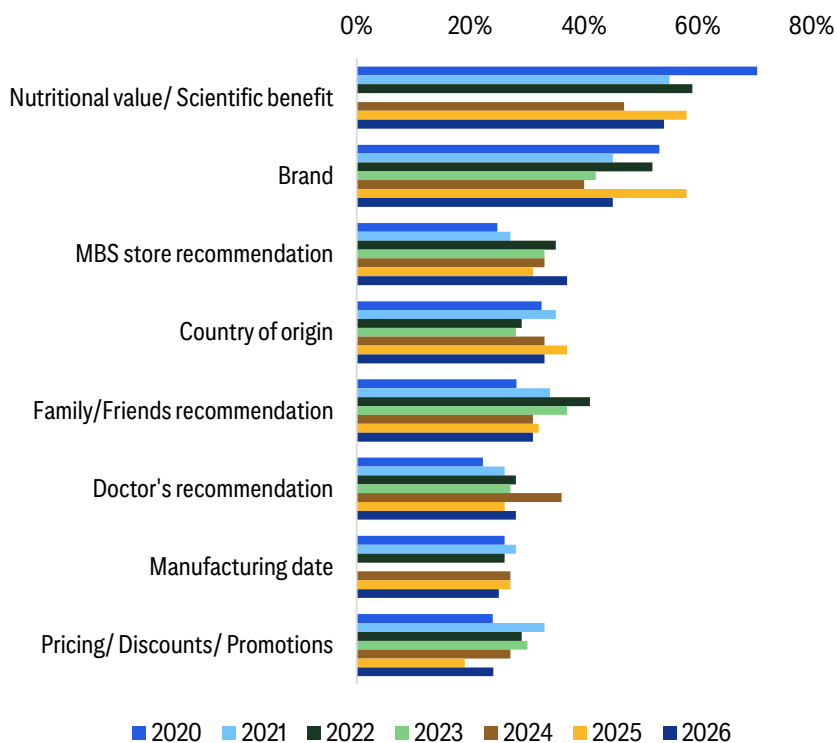
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Figure 6. Based on your experience or what you read/heard, which of the regions below produces the highest quality formula milk?



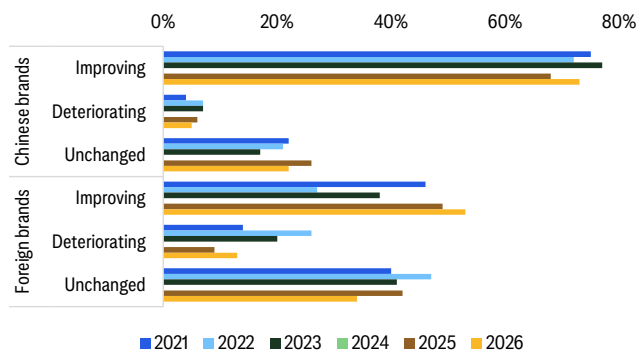
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Figure 7. What are the main three factors that influence your choice of formula milk?



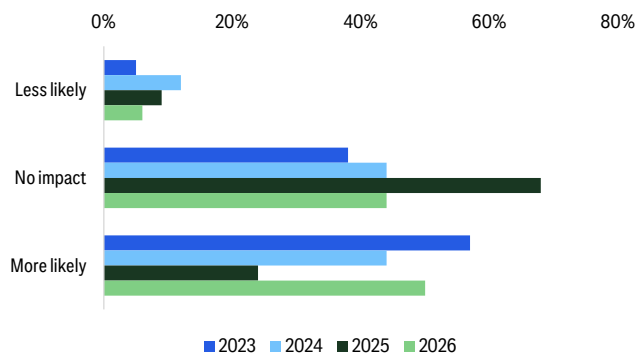
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Figure 8. How have your views of the quality of Chinese and foreign brands of formula milk changed in the past 12 months?



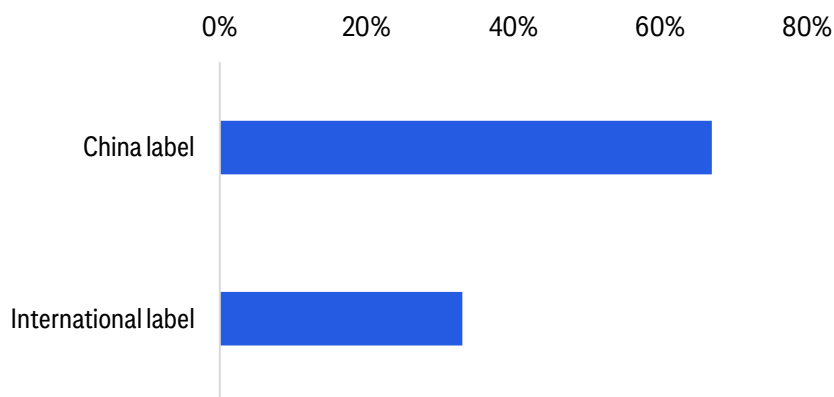
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Figure 9. Are you more likely to buy a foreign brand, if it is manufactured in China?



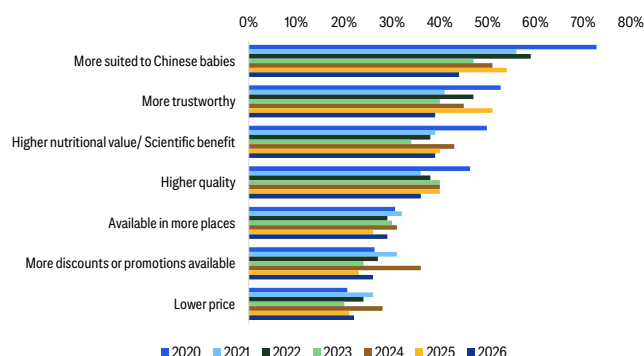
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Figure 10. What infant formula has your child primarily consumed over the last 12 months?



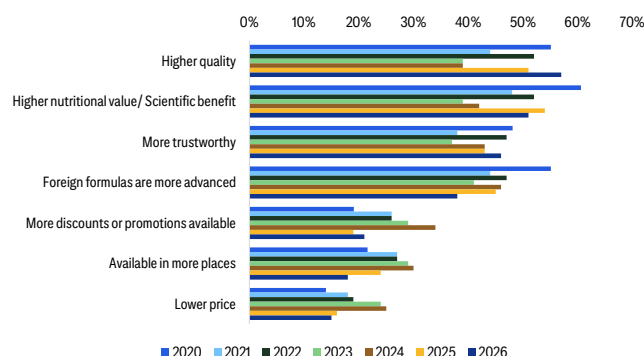
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Figure 11. Why do you choose domestic Chinese brands for formula milk?



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Figure 12. Why do you choose foreign brands for formula milk?



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Potential stock implications

- **a2 Milk.** The improving quality perception of domestically produced infant formula is a headwind for a2 Milk, given all of its formula is produced in New Zealand and we think shifting any production to China may be some time away given the company is occupied with ramping up production at and integrating its newly acquired Pokeno facility.

The increasing importance of nutritional value / scientific benefit in influencing infant formula purchases is a positive for the upcoming a2 Platinum refresh which should have additional nutritional value and benefits.

- **China Feihe/Health and Happiness.** We believe Feihe has successfully built its brand image of being “most suitable for Chinese babies” and hence is well positioned to solidify its leadership as the No.1 domestic IMF company. We also believe Feihe’s over 65% of IMF sales from super-premium products (including super-premium-plus) enable it to benefit from the trend of consumer focus on

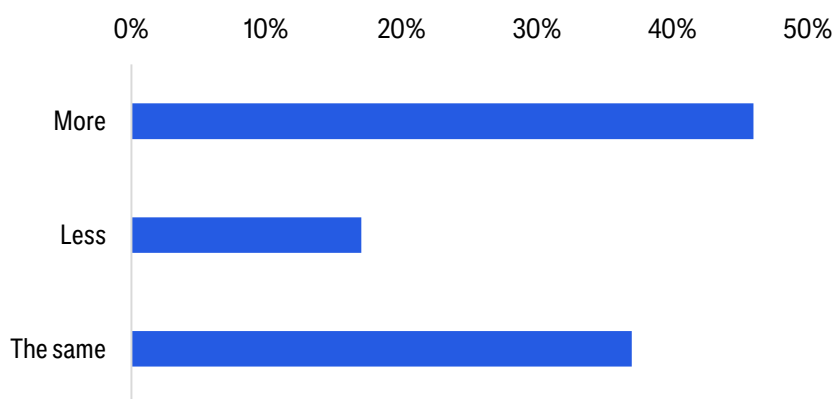
nutrition. We believe H&H's focus on the super-premium segment enables it to benefit from the trend of consumer focus on nutrition. H&H's market share in the super-premium segment has significantly improved from 13.3% in 2024 to 17.1% in 2025 and 22.1% in 2M26.

- **Danone.** The improving quality perception of domestically produced infant formula is a headwind for Danone, although the company does also have local production. The increasing importance of nutritional value / scientific benefit in influencing infant formula purchases is however a positive especially as the group is premiumizing its offering (Aptamil Essensis).
- **Nestlé.** The improving quality perception of domestically produced infant formula is a headwind for Nestlé – premiumization and increasing need for R&D is a positive for price/mix, but we would still assume Danone to be a relative winner.
- **Abbott.** These results may be slightly negative for Abbott's adult nutrition business given the improving perception of domestic brands.

#3. Increased spending on infant formula

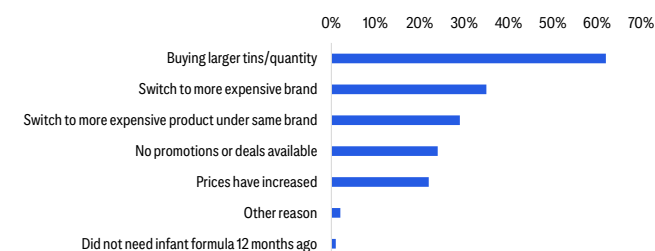
More respondents are spending more money on infant formula product compared to 12 months ago (Figure 13). Increased spending on infant formula has primarily been due to upsizing, switching to more expensive brands, or switching to more expensive products within the same brand (Figure 14), whilst respondents who are spending less tend to buy on promotions/deals (Figure 15). This premiumization trend helps reduce the impact of the declining birth rate through higher prices on lower volumes.

Figure 13. Are you spending less or more money on infant formula product compared to 12 months ago?



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Figure 14. Why are you spending more money on infant formula product compared to 12 months ago?



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Figure 15. Why are you spending less money on infant formula product compared to 12 months ago?



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Potential stock implications

- **a2 Milk.** Higher spend from Chinese consumers on infant formula helps reduce the impact of the declining birth rate through higher prices despite lower volumes. This is a tailwind for a2 Milk. In addition, a2's recent launch of the more premium Genesis range should have been a benefit from consumers trading up, prior to supply issues which have been more acute in this product.
- **China Feihe/Health and Happiness.** Feihe's strong super-premium product offerings have been a key sales driver under industry headwinds. Its product mix of super-premium segment remains solid (68% in 2025 vs. 69% in 2024). Its super premium plus product "Astrobaby Zhuorui" only recorded mild sales decline in 2025 and Feihe continued to gain market share. This premiumization trend would further help Feihe to mitigate downside risk on price competition in 2026. We think H&H benefits from the premiumization trend, allowing it to safeguard its IMF gross margin given its focus on premium and super premium segments. Its IMF sales grew 72% in 1Q26 and its market share in super premium IMF reached 18.2% in 12m ending Feb 2026 and 22.1% in Jan-Feb 2026.
- **Danone.** Higher spend from Chinese consumers on infant formula helps reduce the impact of the declining birth rate through higher prices despite lower volumes. This is a tailwind for Danone which we think also explains the robustness of Danone's SN division.
- **Nestlé.** Higher spend from Chinese consumers on infant formula helps reduce the impact of the declining birth rate through higher prices despite lower volumes. This should be a tailwind for Nestlé, although we think the group still has to fix its Nutrition business and does not make the most of those premiumization needs yet.
- **Abbott.** Consumers spending more on infant formula should benefit Abbott and the market more broadly, mitigating volume impacts from the declining birth rate.

#4. While breast milk is seen to be the highest quality, there are two key reasons impacting willingness to breastfeed

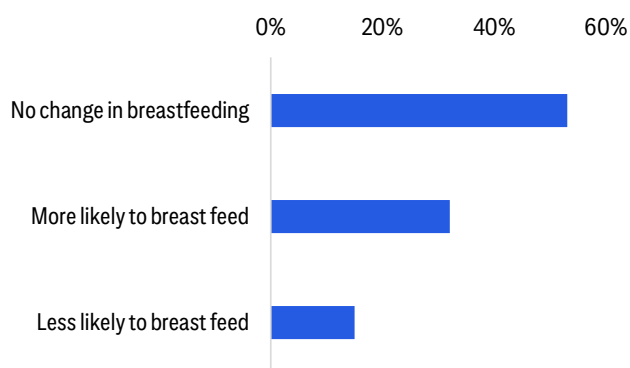
The survey suggests the majority of respondents are not likely to change whether they breastfeed or not (Figure 16). However, the survey has detected a growing proportion of Chinese mothers who believe that breastmilk is better quality than

bottle milk for children (Figure 18), implying that consumers in China are driven to bottle-feed rather than breastfeed due to reasons other than quality.

When analysing the subset of respondents who are less likely to breastfeed, the key driver is financial pressures (Figure 17), followed by impact on physical appearance. Several studies including a study conducted in China in 2025 by Lin, D., Zheng, Q., Li, Q. et al. ([Breastfeeding knowledge and body image affect breastfeeding attitude of pregnant women: a cross-sectional study. Sci Rep 15, 36874 \(2025\)](#)) found that pregnant women are more reluctant to breastfeed due to their body image disturbance as they may feel embarrassed or dissatisfied with their appearance. The physical appearance aspect of a decline in breastfeeding is a risk to monitor.

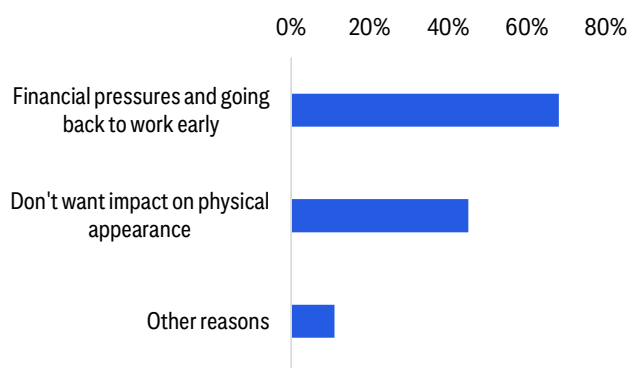
Figure 19 shows a declining percentage of respondents changing from infant formula to breastfeeding (from 2024 to 2026).

Figure 16. Are you more or less likely to breast feed now than previously?



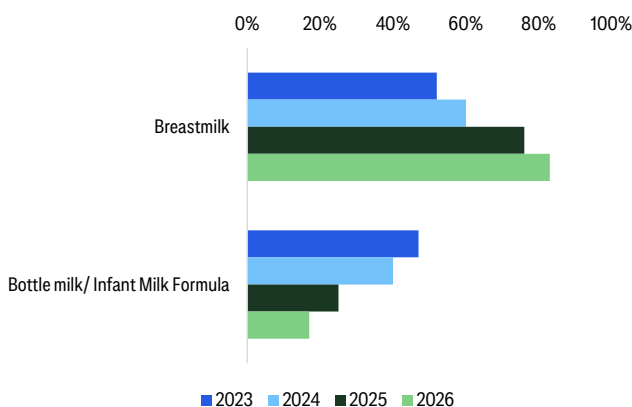
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Figure 17. Why are you less likely to breastfeed?



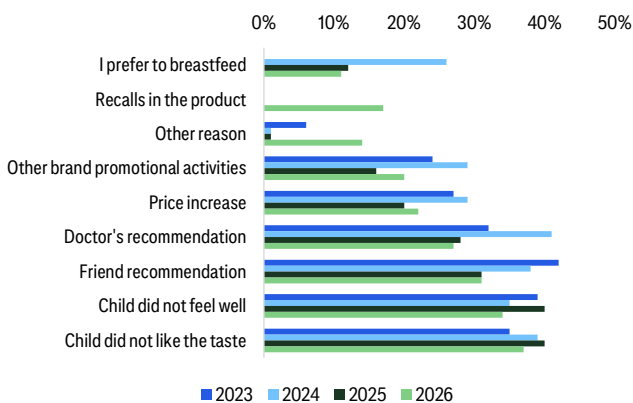
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Figure 18. What do you see as the best quality milk for children?



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Figure 19. Why have you changed the brand of formula milk you purchase?



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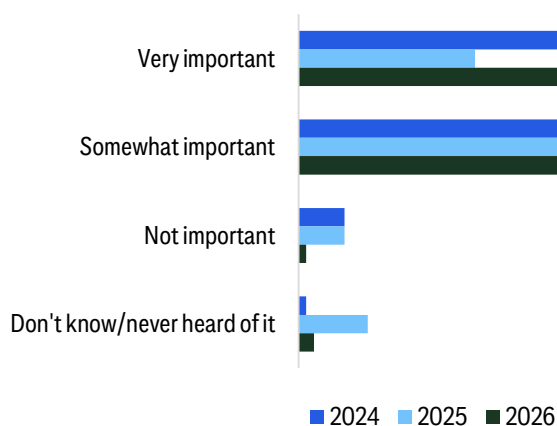
Potential stock implications

- **a2 Milk.** Any substitution from breastfeeding to infant formula would be positive for a2 and should help decouple the company's prospects from the birth rate.
- **China Feihe/Health and Happiness.** The decline in breastfeeding rate would benefit Feihe and H&H, but to a lesser extent for Feihe given its relative strength in stage 3 formula.
- **Danone/ Nestlé.** Any substitution from breastfeeding to infant formula would be positive for multinationals and should help decouple the company's prospects from the birth rate.
- **Abbott.** Any shift in preference to infant formula from breastfeeding would benefit Abbott's Nutrition business in China.

#5. Increasing importance of HMOs and other added nutrients in infant formula

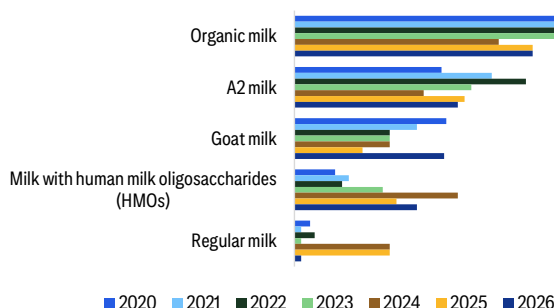
Almost all the respondents regarded Human Milk Oligosaccharides (HMOs) as either very important or somewhat important, up from 2025. Almost half of respondents believed that formula with more nutritional ingredients added has the highest quality. This highlights the growing importance of added nutrients in infant milk formula such as HMOs.

Figure 20. How important is Human Milk Oligosaccharides (HMOs) in a formulation for buying an infant formula brand?



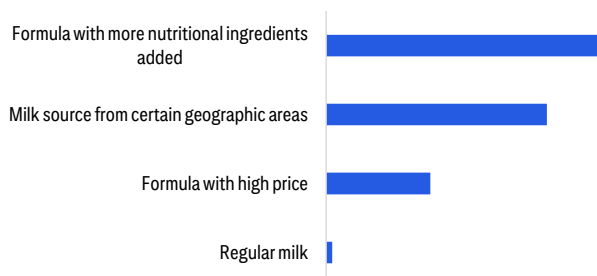
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Figure 21. Which of the following formula milk types has the highest quality?



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Figure 22. Which of the following formula milk types has the highest quality?



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Potential stock implications

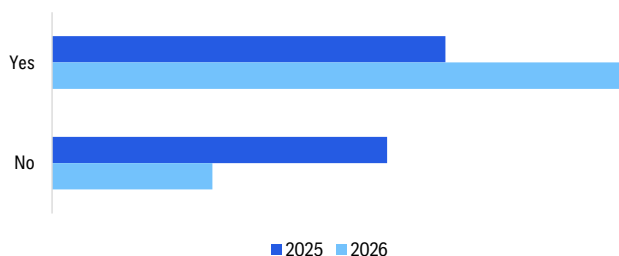
- **a2 Milk.** The growing importance of added nutrients such as HMOs is a tailwind for a2's recently launched Genesis formula which includes added HMOs, probiotics, higher GOS pre-biotics, and algal-sourced DHA added to the formula. The survey findings make us more confident in a2's ability to grow market share through Genesis and further NPD in the China market. However, at the current time the company is experiencing supply constraints, which are more acute in its Genesis product. Further, while A2 milk is still seen as the second highest quality, the trend is weakening over the last 5 years with goat and HMO catching up.
- **China Feihe.** HMOs were approved as an additive in milk formula production in China in Oct 2023. Following this, Feihe was one of the first domestic brands to get HMO product registration in late 2025. Feihe also took the lead in developing a variety of HMO materials and formulating HMO standards, filling the gap in HMO detection methods in formula foods. Consumers' increasing preference of HMO added IMF product is positive for Feihe and will drive sales of its HMO added IMF product this year.
- **Health and Happiness.** H&H launched HMO added IMF product in Apr 2026 and claimed high content of HMOs vs. peer product, catering well to consumers' demand.
- **Danone.** The growing importance of added nutrients such as HMOs is a tailwind for Danone which is present on that segment via Aptamil, although we would think Nestlé has also been investing significantly in that space.
- **Nestlé.** The growing importance of added nutrients such as HMOs is a tailwind for Nestlé which launched its first HMO growing-up milk in China under Wyeth illumina in 2023 and has a strong historic presence in that field.
- **Abbott.** These results are not relevant to Abbott's business as management has discontinued its IMF business in China.

#6. Online channels continue to become more significant

The proportion of respondents who have switched to buying more infant formula milk through online channels due to lower prices has increased from over half last

year to over three quarters in 2026, however it appears the pace of switching may decelerate given around two thirds of those who have not yet switched, do not plan on switching to online channels (Figure 24). Range is a key driver of why respondents purchase formula milk from CBEC channels (Figure 25) with around half of respondents citing it as the main reason compared to around a quarter last year. Emerging online channels are also gaining traction as a destination for shopping for infant formula, increasing from 5% of respondents' main shopping location in 2025 to 14% in 2026 (Figure 27). Price/discounts, range and convenience are the main factors behind the growth in these emerging online channels (Figure 26).

Figure 23. In the past 12 months, have you switched to buying more infant formula milk through online channels due to products being cheaper than in physical stores?



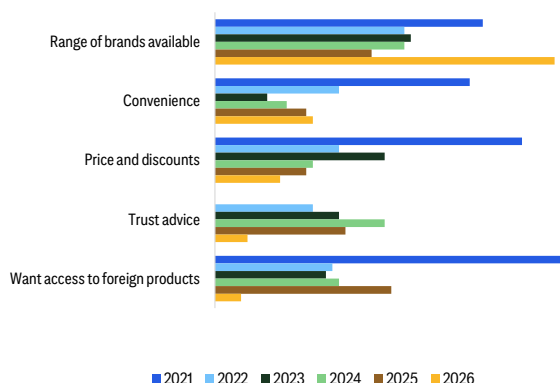
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Source: Citi Research

Figure 24. Given cost of living pressures, are you likely to switch from buying from retail stores to buying through online channels in the next 12 months?



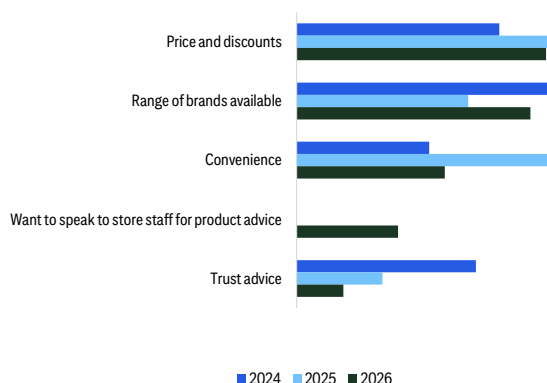
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Figure 25. Main reason respondents buy formula at Cross border e-commerce



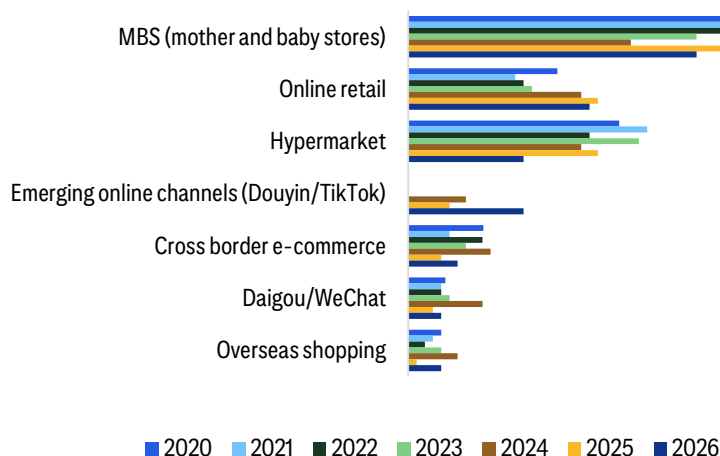
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Figure 26. Main reason respondents buy formula at Emerging online channels (Douyin/TikTok)



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Figure 27. Where respondents most often shop for infant formula



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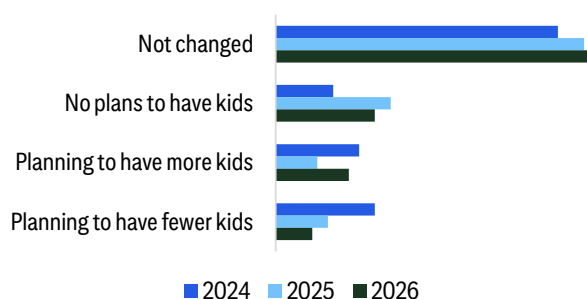
Potential stock implications

- **a2 Milk.** The move towards online channels including CBEC and emerging online channels (Douyin/TikTok) supports a2's growth in English Label with EL sales growing at 21% in 1H26 vs 6.5% in a2's China Label sales growth. Being a foreign brand, a2 is well placed in an environment where English label outperforms given the ability to innovate more frequently compared to China label.
- **China Feihe/Health and Happiness.** Feihe has accelerated online business development in recent years to cope with the change in consumer behavior. Feihe's online sales grew LSD in 2025, accounting for 26% of total revenue. Feihe had an online market share of 13.2% in 2025 (from 13.1% in 2024). In addition, Feihe's online sales are mainly through the company's flagship stores, where Feihe can manage the retail price directly to prevent big price differences. Higher willingness to shop online and compare prices has a neutral impact on Feihe in our view. H&H's IMF online channel sales grew 45% in 2025 with sales mix increased to 29% (from 25% in 2024). H&H had an online market share of 3.3% in 2025 (from 2.8% in 2024). H&H's online sales are also mainly through the company's flagship stores. We think the move towards online channels supports H&H's sales growth.
- **Danone/ Nestlé.** The move towards online channels including CBEC and emerging online channels (Douyin/TikTok) is a positive for all multinationals operating at scale, be it Danone or Nestlé in our view.
- **Abbott.** These results are likely neutral for Abbott, although increased consumer awareness of competitor lines and prices may contribute to brand switching. However, this has not been reflected in results.

#7. Most have not changed their plan to have kids compared to 12 months back; Marriages may not necessarily lead to children

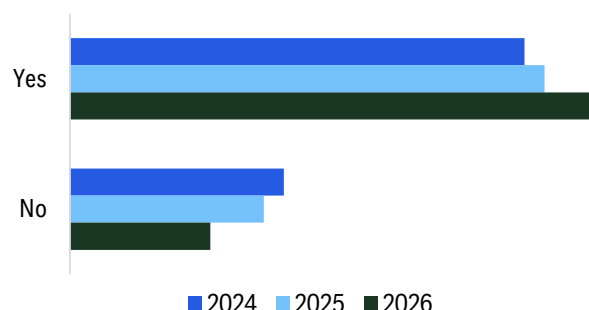
An increasing proportion of respondents have not changed their plans with respect to having babies (Figure 28). Meanwhile, it is increasingly becoming clearer that more people in China are getting married but not having children (Figure 29). An increasing proportion of respondents also see that an increasing number of marriages may not necessarily lead to more children (Figure 30).

Figure 28. Compared to 12 months back, how has your plans with respect to having babies changed?



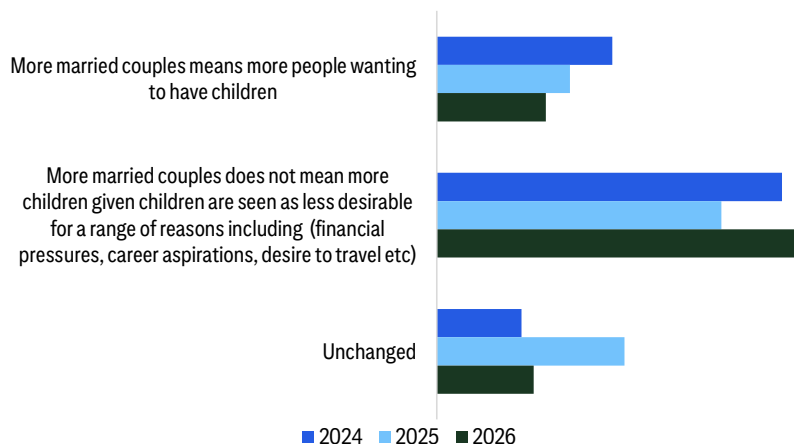
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Figure 29. Are you seeing more people in China getting married but not having children?



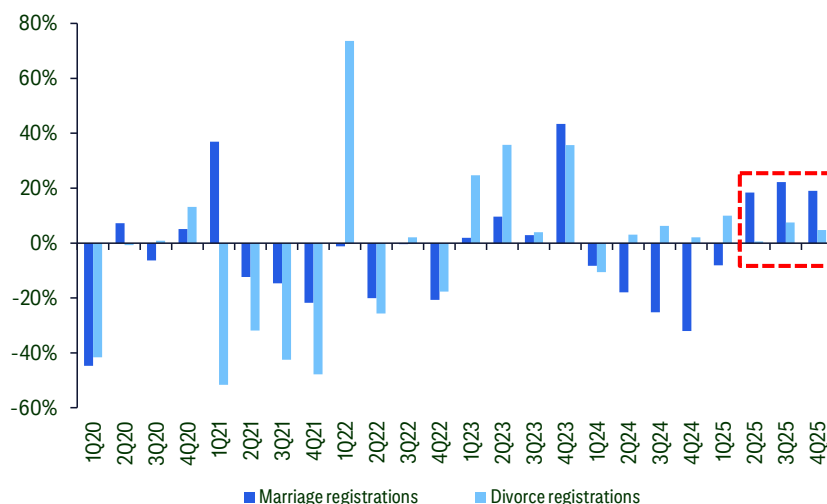
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Figure 30. With marriages increasing, what do you expect the impact to be on the number of newborns?



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Source: Citi Research

Figure 31. China marriage rate



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Source: Citi Research, Ministry of Civil Affairs

Potential stock implications

- **a2 Milk.** The fall in the birth rate in 2025 is a headwind for a2, and whilst the increasing marriage rate over 2025 is promising, the survey results increasingly suggest that the increase in marriages in 2025 may not automatically translate to a higher birth rate in future years. a2's response to the falling birth rate has been through NPD (diversifying from infant formula into later stage products, seniors products and pediatric supplements) and geographic expansion (such as Vietnam).
- **China Feihe/Health and Happiness.** Industry outlook for 2026E remains tough given potential mid-single digit decline in infant population size (0-3 years old). That said, Feihe may have a mild topline recovery given its inventory clearance in 2H25 has set an easy comp base and new HMO product launched in late 2025 is likely to be a growth pillar on which management has strong ambitions. H&H has developed successful measures in marketing, branding, distribution, and execution, and recorded 72% IMF sales growth in 1Q26. Management expect IMF sales to grow at mid to high teens in 2026E.
- **Danone.** Birth rate is obviously a headwind for Danone, although the group has managed to hedge itself demographically by scaling up its Medical Nutrition franchise, leveraging distribution synergies with infant milk/pediatrics through hospitals.
- **Nestlé.** Birth rate is also a headwind, although Nestlé exposure to China IMF remains limited and we would thus assume that as long as the group can manage to make the most of Chinese parents' premiumisation behavior, this should be seen as enough.
- **Abbott.** These results are not relevant to Abbott's business as management has discontinued its IMF business in China.

#8. As financial pressures ease, respondents require less government support incentives (including subsidies) to have children

Survey respondents are split on whether the government subsidy will increase motivation to have children (Figure 32). However, a larger percentage of respondents had their financial health improve than get worse over the last 12 months (Figure 33) and economic reasons are no longer the top factor for not planning to have a child/children (health reasons is now number 1) (Figure 34) which may mean government subsidies alone will not solve China's birth rate problem.

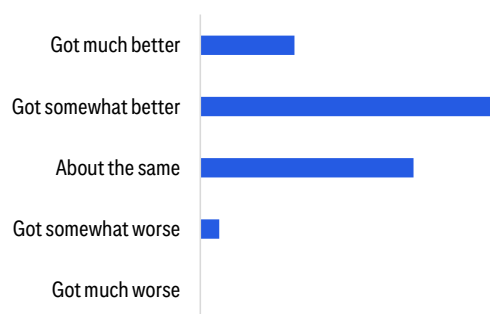
Yet, it appears more respondents are motivated by the subsidies to have kids (Figure 35).

Figure 32. Does the recent announcement by the Chinese government to increase household support for babies (including birth subsidy) increase your motivation to have children?



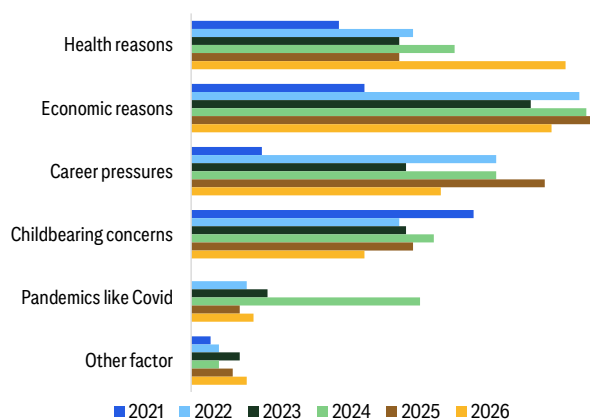
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Figure 33. In the past 12 months your financial health has?



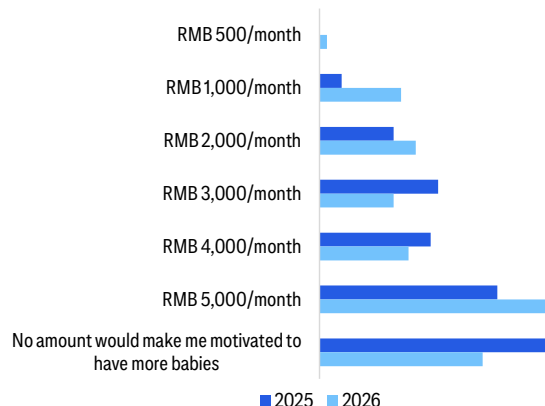
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Figure 34. What are the main reasons for not planning to have a child or children in the future?



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Figure 35. How much financial support do you need from the government to increase your motivation to have children?



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Potential stock implications

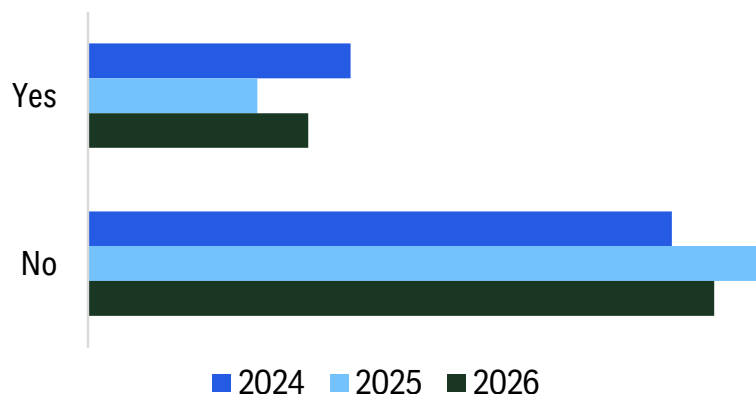
- **a2 Milk.** The combination of easing financial pressures and subsidy announcements could be positive for the CY26 birth rate, which would be positive for a2 Milk.
- **China Feihe/ Health and Happiness.** Improved financial health, national childcare subsidy program and local subsidy schemes should help mitigate the pressure from potential mid-single digit decline in infant population size (0–3 years old) in 2026E, which are seen as positives for Feihe and H&H.
- **Danone/ Nestlé.** Same implication as for A2 Milk.
- **Abbott.** It remains unclear whether improved government subsidies will have an impact on the birth rate, although if positive would benefit Abbott.

#9. Chinese zodiac signs have small influence on births over the next two years

Almost three quarters of respondents reported that zodiac signs had no influence on their plans on when to have children.

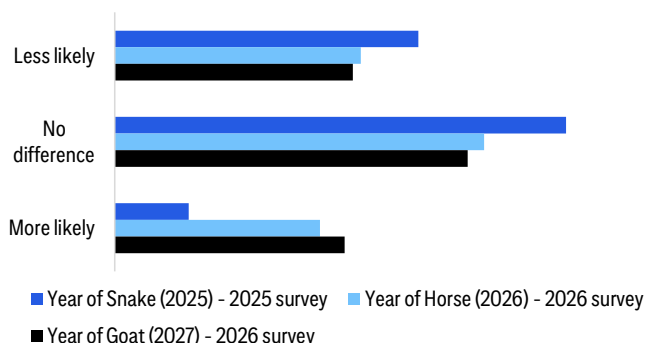
The improved sentiment for 2026 and 2027 (Horse and Goat respectively) compared to the Year of the Snake (2025) should be positive for near term birth rates.

Figure 36. Do Chinese zodiac signs influence your plans as to when you want to have a child?



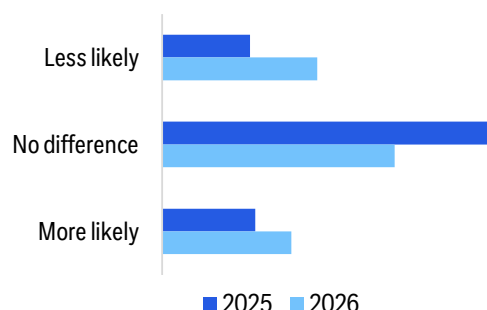
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Figure 37. Please indicate the likelihood of having a child during the following years in comparison to other years.



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Year of Snake data from 2025 survey, Year of Horse and Year of Goat data from 2026 survey
Source: Citi Research

Figure 38. Please indicate the likelihood of having a child during the Year of the Horse (2026)



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Source: Citi Research

Potential stock implications

- **a2 Milk.** While most consumers do not base their family planning on zodiacs, some do, and it appears that there is more willingness to have children in the Year of the Horse (2026) and Goat (2027) vs the Snake (2025 when the [birth rate fell to decades-low](#)). This should be positive for a2 Milk.
- **China Feihe/ Health and Happiness.** The coming two years (2026-2027) appear to be more popular for childbearing as compared to 2025 from a zodiac perspective, which is a positive surprise to us. This should help mitigate pressure from low birth rate which benefits Feihe and H&H.
- **Danone/ Nestlé.** Sequentially improving birth rate is always a positive, although the benefit will only be seen gradually given that infants are being fed through 3 stages depending on their age and the headwinds from the past year will still be felt via stage 2 and stage 3 (where Danone has a solid presence) and may offset stage 1 improvements.
- **Abbott.** There appears to be more willingness to have children in the Year of the Horse (2026) and the Year of the Goat (2027) versus the Year of the Snake (2025), which would be positive for Abbott.

#10. Positive reception for infant formula brands ability to diversify into adjacent categories and products for older consumers

Stage 4 / Kids Milk Powder

Well over half of respondents have their children consume stage 4 infant milk powder or kids milk powder, with immunity benefits and brain/cognitive developments as the main reasons for purchasing stage 4 / kids milk powder (Figure 40). Most respondents would keep their child consuming stage 4 / kids milk powder up to 4 or 5 years of age (Figure 41).

Pediatric supplements

Roughly two thirds of respondents purchase pediatric supplements. When choosing pediatric supplements, 62% are more likely to choose a brand known for infant formula, and 86% see foreign pediatric supplements brands becoming more popular compared to domestic brands (Figure 44). With the considerable number of brands of pediatric supplements in the market, effective marketing appears to have the most impact on influencing respondents to try a new brand of pediatric supplement, over recommendations from friends and medical professionals (Figure 45).

Seniors milk formula

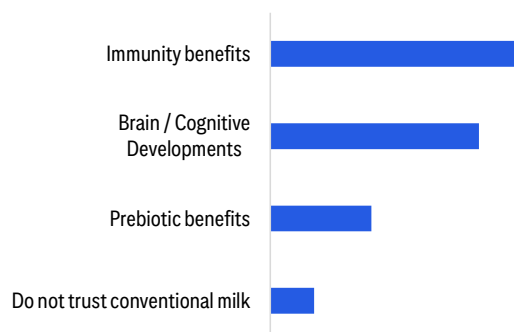
60% of respondents have older people in their family likely to consume milk formula products specifically formulated for senior citizens from infant formula brands (Figure 46).

Figure 39. Does your child consume stage 4 infant milk powder or kids milk powder?



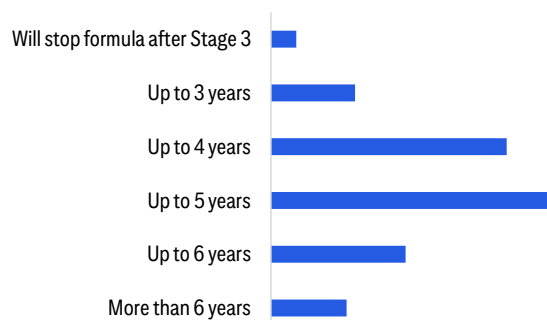
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Figure 40. Why does your child/would your child consume stage 4 / kids milk powder?



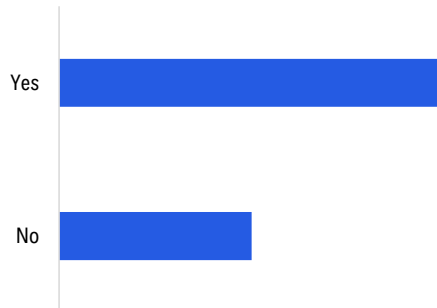
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Figure 41. Until what age would I keep my child consuming stage 4 / kids milk powder?



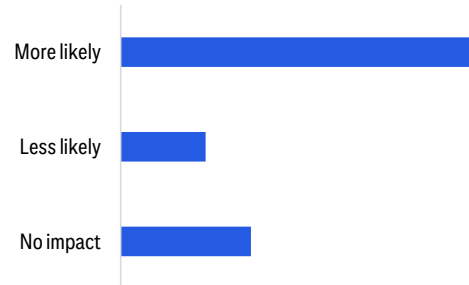
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Figure 42. Do you purchase pediatric supplements?



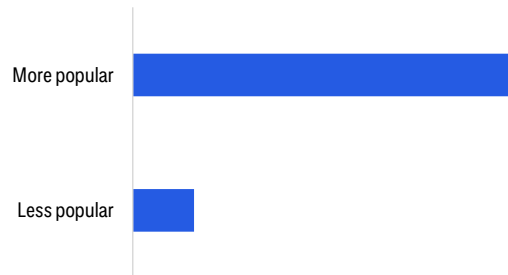
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Figure 43. When choosing a pediatric supplement brand, are you more or less likely to choose a brand who is known for infant formula?



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Figure 44. Do you see foreign pediatric supplement brands becoming more or less popular compared to domestic brands?



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Figure 45. What would cause you to try a new brand of pediatric supplement?



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Figure 46. Are older people in your family likely to consume milk formula products specifically formulated for senior citizens from infant formula brands?



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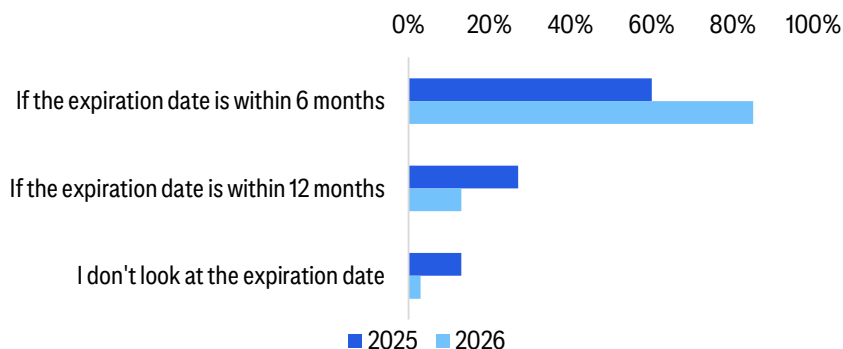
Potential stock implications

- **a2 Milk.** Due to birth rate associated challenges, a2 has been innovating and diversifying its product range into adjacent categories aimed at older consumers (older kids, seniors) or new categories (vitamins). Our survey results suggests a2 is likely to find success with this strategy. [Our on the ground China research](#) has suggested positive early sell through trends for kids fortified milk powder and seniors products, which is supported by company disclosure. a2 indicated the pediatric supplement category is a rapidly growing market with ~NZD 8 billion in retail sales and the company is planning to roll out products over 2H FY26. Near term sales are not expected to be material but there is significant longer term potential.
- **China Feihe/Health and Happiness.** H&H would benefit more from this trend given its rich offerings in pediatrics and health supplements. Feihe would benefit as well but it mainly focuses on milk formula innovations e.g. adult milk powder.
- **Danone.** We think Danone has a best-in-class presence in Medical Nutrition, especially via pediatrics (Nutricia) and for older demographics via Nutrison, benefitting from the group's strong access to tier-1 hospitals, and the Fortimel umbrella brand.
- **Nestlé.** Nestle also has a presence in both pediatrics and Adult Nutrition, addressing roughly the same segments (tube feeding, supplements for elder malnutrition).
- **Abbott.** With Abbott offering a diverse product line beyond infant nutrition, more consumer interest in other milk products along with Abbott's brand recognition should benefit the company in China.

#11. Expiration dates a high priority for parents/caregivers

A higher proportion of respondents are looking at expiration dates when they purchase infant formula compared to last year (Figure 47), which suggests that expiration dates are becoming more of a priority for parents and caregivers when purchasing infant formula.

Figure 47. When would you not buy a tin of infant formula?



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Potential stock implications

- **a2 Milk.** a2's infant formula stock in China is typically fresh, as seen from our China trips. [Our most recent visit to China](#) revealed that most a2 China Label Stages 1-3 tins had expiration dates between 3 and 18 months which is within the ideal expiration date for all survey respondents. Recent stock shortages are likely to mean that a2's stock is even fresher than normal over the near to medium term.
- **China Feihe/ Health and Happiness.** Given consumers' preference for freshness, we believe Feihe benefits the most given its newly launched fresh ingredient traceability system in Jan 2026. By scanning the QR code on the bottom of the can, consumers can now directly trace the production dates and inspection reports of core ingredients. We think the system helps build consumer trust in Feihe. For H&H, as its major IMF products are produced in Europe, the heightened consumer scrutiny of expiration dates puts pressure on H&H's global supply chain model, though we think it has been well managed in the past.
- **Danone/ Nestlé.** We think it is too early to assess whether any stock replenishment would lead to longer expiry date; but we think this is more of a topic for Nestlé than for Danone given the result of the survey to an earlier question.
- **Abbott.** We view these results as neutral for Abbott.

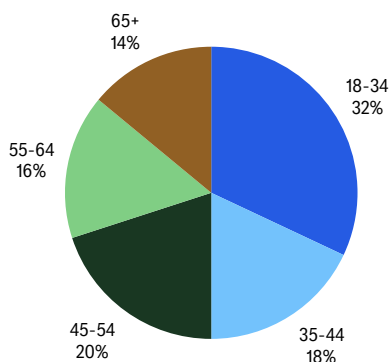
Background

Citi's Research Innovation Lab has conducted a survey of 1,200 parents/caregivers of young children (0 to 6 years) in China who purchase infant formula. The sample spans all city tiers (1 to 5) and income brackets. We analyse the drivers behind infant formula brand selection, how they differ between consumer groups, and the areas of the China infant formula market with the most opportunity.

Survey sample profile

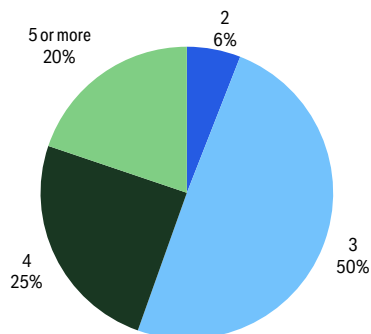
The survey sample spans a wide range of ages, city tiers, and respondent types.

Figure 48. Respondent age



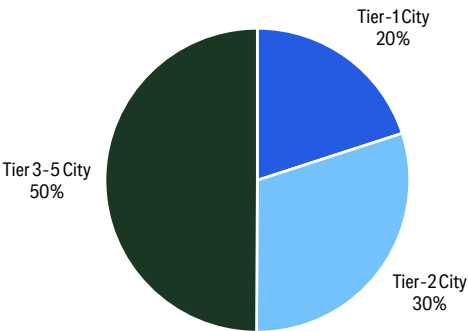
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Figure 49. Number of people in respondent's household



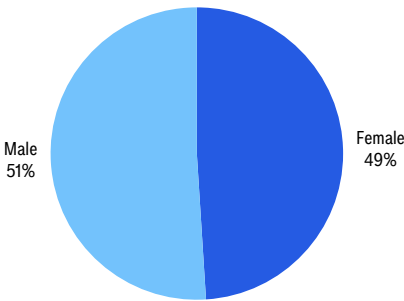
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Figure 50. Sample city tier distribution



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Figure 51. Respondent type – responsible for buying IMF



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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Health and Happiness (H&H) (1112.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Tiffany Feng



Date	Rating	Target Price	Closing Price
1 14-Jun-23 07:06:02	1	*19.40	9.82
2 01-Nov-23 12:36:23	1	*17.60	10.64
3 27-Mar-24 11:57:19	1	*15.60	10.98
4 18-Jul-24 11:31:44	1	*11.80	8.88
5 28-Aug-24 01:23:13	1	*11.00	8.56

*Indicates Change

Date	Rating	Target Price	Closing Price
6 30-Sep-24 04:59:46	1	*13.10	11.42
7 19-Nov-24 11:51:14	1	*11.50	9.64
8 26-Mar-25 14:43:25	1	*12.70	9.94
9 11-Apr-25 06:16:44	1	*12.60	9.73
10 18-May-25 17:15:46	1	*13.50	11.84

Date	Rating	Target Price	Closing Price
11 27-Aug-25 09:54:17	1	*16.50	14.16
12 03-Dec-25 08:54:26	1	*18.80	14.89
13 04-Mar-26 10:48:19	1	*19.20	14.40
14 29-Mar-26 18:35:31	1	*16.00	12.16

Rating/target price changes above reflect Eastern Time

China Feihe (6186.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Tiffany Feng



Date	Rating	Target Price	Closing Price
1 11-Jul-23 06:01:13	1	*5.10	4.55
2 30-Aug-23 03:01:58	*2	5.10	4.67
3 09-Jan-24 04:14:52	2	*4.00	3.92
4 01-Apr-24 03:50:09	*1	*4.30	3.68

*Indicates Change

Date	Rating	Target Price	Closing Price
5 29-Aug-24 05:19:13	1	*5.20	4.04
6 29-Sep-24 21:52:36	1	*6.30	5.27
7 10-Nov-24 19:41:28	1	*6.50	5.95
8 31-Mar-25 11:46:34	1	*7.10	5.87

Date	Rating	Target Price	Closing Price
9 06-Jul-25 20:00:55	*2	*5.50	5.70
10 29-Aug-25 10:38:34	2	*4.30	4.39
11 27-Mar-26 05:13:31	2	*3.60	3.68

Rating/target price changes above reflect Eastern Time

The A2 Milk Company Ltd (A2M.AX)

Ratings and Target Price History Fundamental Research

Analyst: Sam Teeger



	Date	Rating	Target Price	Closing Price
1	02-Jun-23 02:52:17	*2	*5.35	5.30
2	10-Jul-23 07:26:52	2	*5.30	4.93
3	21-Aug-23 10:42:24	2	*4.74	4.27
4	16-Nov-23 16:25:00	*1	*4.81	3.82
5	19-Feb-24 09:18:50	*2	*5.75	5.68
6	16-May-24 19:34:13	*1	*7.85	6.55

	Date	Rating	Target Price	Closing Price
7	19-Aug-24 00:28:25	1	*7.04	5.70
8	22-Nov-24 03:48:18	1	*7.15	5.45
9	05-Jan-25 23:05:39	1	*7.33	5.73
10	17-Feb-25 03:04:51	1	*8.20	7.12
11	08-Jul-25 04:28:53	*2	8.20	7.61
12	18-Aug-25 17:30:00	*1	*9.29	8.23

	Date	Rating	Target Price	Closing Price
13	19-Nov-25 17:46:06	1	*10.45	9.22
14	10-Jan-26 22:00:12	1	*10.40	9.18
15	16-Feb-26 15:26:47	1	*10.55	9.10
16	13-Apr-26 03:19:40	*2	*8.40	8.04
17	15-May-26 10:28:54	*3	*5.85	6.13

*Indicates Change

Rating/target price changes above reflect Eastern Time

Danone (DANO.PA)

Ratings and Target Price History Fundamental Research

Analyst: Cedric Besnard



	Date	Rating	Target Price	Closing Price
1	14-Apr-25 00:00:00	*2	*73.00	71.98

	Date	Rating	Target Price	Closing Price
2	23-Apr-25 04:16:35	2	*75.00	74.32

	Date	Rating	Target Price	Closing Price
3	28-Oct-25 05:37:18	2	*77.00	78.06

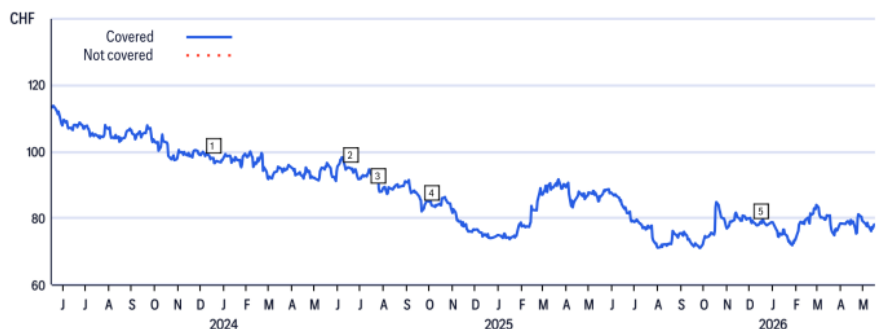
*Indicates Change

Rating/target price changes above reflect Eastern Time

Nestlé (NESN.S)

Ratings and Target Price History Fundamental Research

Analyst: Cedric Besnard



	Date	Rating	Target Price	Closing Price
1	18-Dec-23 00:00:00	1	*115.00	98.08
2	17-Jun-24 07:38:50	1	*110.00	95.10

	Date	Rating	Target Price	Closing Price
3	25-Jul-24 09:35:56	1	*105.00	88.82
4	03-Oct-24 00:00:00	*2	*90.00	83.98

	Date	Rating	Target Price	Closing Price
5	16-Dec-25 00:00:00	2	*85.00	78.44

*Indicates Change

Rating/target price changes above reflect Eastern Time

Abbott Laboratories (ABT)

Ratings and Target Price History
Fundamental Research

Analyst: Joanne Wuensch



	Date	Rating	Target Price	Closing Price
1	02-Oct-23 05:00:00	1	*122.00	95.73
2	11-Dec-23 07:45:19	1	*123.00	106.22
3	24-Jan-24 14:37:49	1	*126.00	110.77
4	03-Apr-24 05:00:00	1	*128.00	111.28
5	22-May-24 05:00:00	1	*119.00	104.82

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	22-Aug-24 05:00:00	1	*127.00	112.10
7	16-Oct-24 19:08:52	1	*135.00	117.82
8	04-Mar-25 05:00:00	1	*160.00	137.58
9	07-Apr-25 05:00:00	1	*155.00	124.86
10	09-Jul-25 05:00:00	1	*157.00	133.22

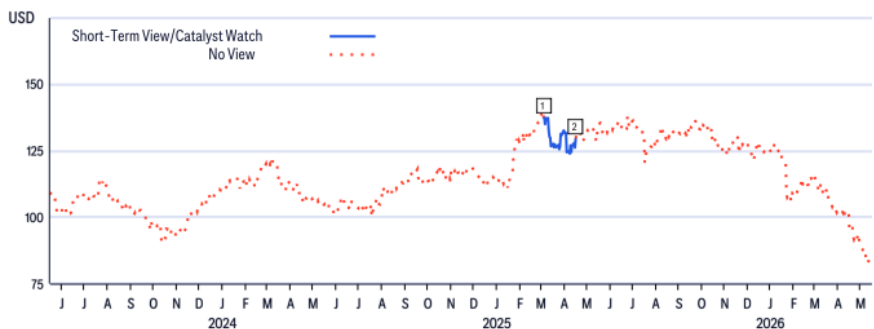
	Date	Rating	Target Price	Closing Price
11	17-Jul-25 19:17:21	1	*155.00	120.51
12	22-Jan-26 16:14:35	1	*140.00	108.61
13	11-Mar-26 05:00:00	1	*136.00	110.25
14	16-Apr-26 16:03:05	1	*108.00	95.47

Rating/target price changes above reflect Eastern Time

Abbott Laboratories (ABT)

Short-Term View/Catalyst Watch Research

Analyst: Joanne Wuensch



	Date	Action	Expected Direction	Duration	Closing Price
1	04-Mar-25 00:00:00	Add STV	Downside	90 Days	137.58

CW - Catalyst Watch, STV - Short-Term View

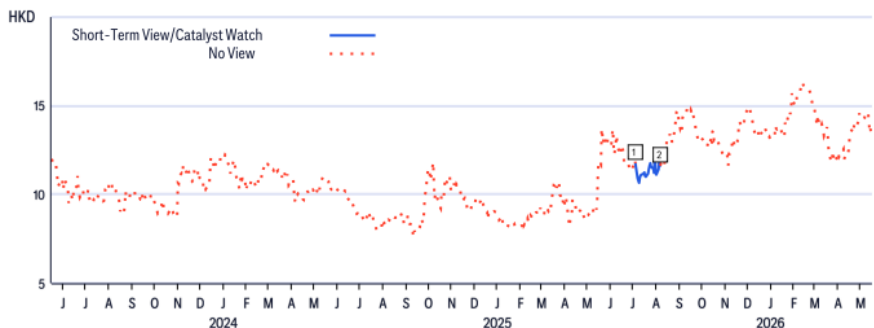
	Date	Action	Expected Direction	Duration	Closing Price
2	16-Apr-25 10:42:10	Remove STV	Downside	90 Days	129.70

Rating/target price changes above reflect Eastern Time

Health and Happiness (H&H)
(1112.HK)

Short-Term View/Catalyst Watch Research

Analyst: Tiffany Feng



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Jul-25 13:39:40	Add STV	Downside	30 Days	11.76

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	06-Aug-25 00:17:06	Remove STV	Downside	30 Days	11.62

Rating/target price changes above reflect Eastern Time

Nestlé (NESN.S)

Short-Term View/Catalyst Watch Research

Analyst: Cedric Besnard



	Date	Action	Expected Direction	Duration	Closing Price
1	24-Jan-24 19:00:00	Add CW	Downside	30 Days	95.32
2	22-Feb-24 05:27:13	Remove CW	Downside	30 Days	94.24
3	22-Mar-24 06:12:48	Add CW	Downside	90 Days	94.36

	Date	Action	Expected Direction	Duration	Closing Price
4	25-Apr-24 08:12:09	Remove CW	Downside	90 Days	92.08
5	25-Aug-24 19:00:00	Add STV	Downside	90 Days	89.54
6	17-Oct-24 08:00:00	Remove STV	Downside	90 Days	86.00

	Date	Action	Expected Direction	Duration	Closing Price
7	15-Dec-25 19:00:00	Add STV	Downside	90 Days	78.95
8	16-Mar-26 08:47:35	Remove STV	Downside	90 Days	80.61

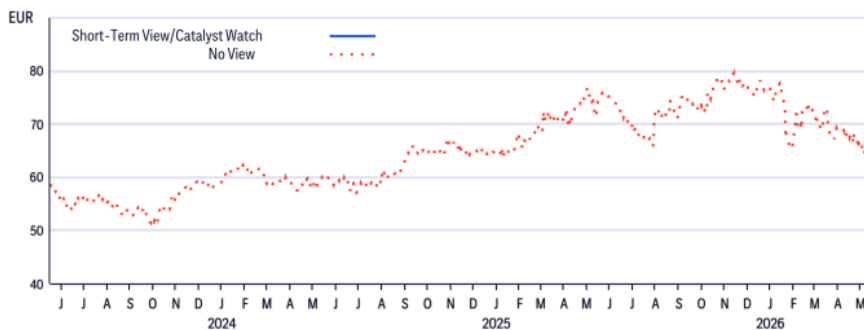
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Danone (DANO.PA)

Short-Term View/Catalyst Watch Research

Analyst: Cedric Besnard



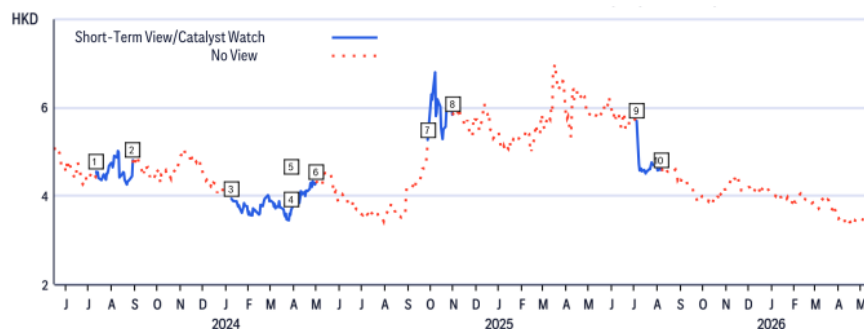
*Indicates Change

Rating/target price changes above reflect Eastern Time

China Feihe (6186.HK)

Short-Term View/Catalyst Watch Research

Analyst: Tiffany Feng



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-23 02:01:13	Add CW	Downside	90 Days	4.55
2	29-Aug-23 23:01:58	Remove CW	Downside	90 Days	4.81
3	08-Jan-24 23:14:52	Add CW	Downside	90 Days	3.94
4	31-Mar-24 23:50:09	Remove CW	Downside	90 Days	3.68

	Date	Action	Expected Direction	Duration	Closing Price
5	01-Apr-24 01:20:09	Add CW	Upside	30 Days	3.68
6	01-May-24 00:24:50	Remove CW	Upside	30 Days	4.30
7	29-Sep-24 17:52:36	Add CW	Upside	30 Days	5.27
8	30-Oct-24 00:29:03	Remove CW	Upside	30 Days	5.84

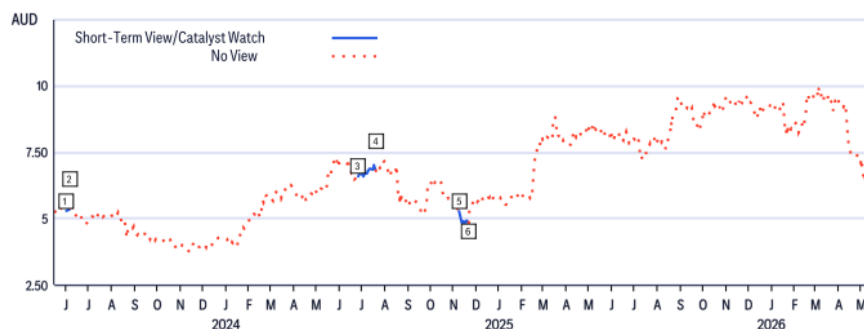
	Date	Action	Expected Direction	Duration	Closing Price
9	06-Jul-25 16:00:55	Add CW	Downside	30 Days	5.70
10	06-Aug-25 00:17:14	Remove CW	Downside	30 Days	4.59

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The A2 Milk Company Ltd (A2M.AX)
Short-Term View/Catalyst Watch Research

Analyst: Sam Teeger



	Date	Action	Expected Direction	Duration	Closing Price
1	01-Jun-23 22:52:17	Add CW	Upside	90 Days	5.29
2	06-Jun-23 13:00:00	Remove CW	Upside	90 Days	5.44
3	26-Jun-24 02:12:24	Add CW	Upside	30 Days	6.59
4	21-Jul-24 22:41:30	Remove CW	Upside	30 Days	6.85
5	10-Nov-24 19:00:04	Add CW	Downside	30 Days	5.28
6	21-Nov-24 22:48:18	Remove CW	Downside	30 Days	4.81

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Citigroup Global Markets Asia Limited	Tiffany Feng
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